

Q: Another debate is around the reduction of poverty in India. What is your view on the debate about India pulling people out of poverty in the past 10 years?

A: The latest consumption expenditure survey (2022-23) has come out [recently]. The previous one was in 2011-12. These are very comparable surveys. And if anything, the new one perhaps overstates poverty a little bit, rather than understate it. I won't go into the reasons as they are a little technical.

Our poverty in 2011-12 was somewhere around 20% or so. In the latest survey (for which full unit-level data is yet to be released), it is pretty clear that extreme poverty has fallen below 3-4%, down from 20%.

Q: Recent data showed a big spurt in India's economic growth at 8.4% in the October-December quarter of 2023. Some people continue to cast doubts about India's growth numbers and ask if the country's GDP data is being fudged, particularly in the past 10 years. What's your response?

lot of experts turned out to be wrong in their forecasts by several miles, and they go ahead and say the gross value added (GVA), which is the calculation of output at factor prices, has grown by 6.45% and that is about right as that is what we expected. But the 8.4% is not right because that is just tax revenue.

Now, if you are an economist, that borders on nonsense because there is output associated with tax revenue also. The government controls a certain amount of output associated with tax revenue. That is in no way anything less of an output, than the rest of the GVA is.

Q: Let us come to the issue of jobless growth. The point being made is that while India is growing at the aggregate level, it is not necessarily translating into significant job growth, and people at the lower end of the income spectrum have been suffering higher inflation and lesser wage growth as well...

A: I would like to put it differently. You know when we say jobless, somehow, we think of unemployment massively rising. I have always maintained that India's

“You could choose not to create wealth, and everybody could stay poor. Or you could create wealth, and some people will get wealthier”

A: You know, my late brother, who was a very distinguished neurologist, used to tell me that the brain works like Velcro for negative news, and like Teflon for positive news. Some people have made it a business to stay in the limelight and continuously question the GDP data. Any good news is questioned, either on the quality of the data or the government's intentions. But you know, it is not that easy to fudge GDP growth data. What you would fudge is the GDP to do that. So, if this year I fudge the data to raise the growth rate by 2%, I hike the GDP by that much. Next year, this becomes my base GDP, over which I would have to calculate the growth rate. So, I would have to fudge 4% to get the extra 2% growth next year. In the third year, I would have to fudge 6%. Very quickly it will get out of hand, and I will get caught. It is not that easy.

GDP data collection is a very broad exercise. It is not like you are collecting one number, so you can easily fudge it. It is a mass of numbers that are being collected, and ultimately it is the aggregate of those. A

problem is not unemployment really. If you interpret the data of the Periodic Labour Force Survey, which is very credible and consistent, it actually shows a steady decline in the unemployment rate. So, in this sense, certainly, jobs are being created.

The problem is that we are not creating good jobs. As a result, the productivity levels in India remain low. I think the problem is of underemployment—a job that could be done by one person is done by three or four persons due to the lack of capital. That means [the] output per worker is low. We need to do something about this. One way that you can see this is you have got 45% of the workforce in agriculture, [and] another 45% in the micro and small enterprises. This means the output per worker of 90% of the workforce is very low.

Q: How do you view the evolution of the Indian banking sector from a time of the so-called 'phone banking' [when calls would be made from ministries to banks to sanction